

Calendar Line # 3
Case Name Cathay Bank vs RPRO152N3, LLC et al
Case No. 20CV416339
Motion to Enforce a Judgment Following Judicial Foreclosure Sale I. <u>BACKGROUND</u> This case stems from a collections case Complaint filed by Plaintiff Cathay Bank, a California Banking Corporation (“Bank”) on May 16, 2023 alleging breach of contract, breach of guaranty, judicial foreclosure, and specific performance and appointment of appraiser against Defendant RPRO152N3, LLC and Brent W. Lee (collectively Defendants). On November 14, 2024, the Honorable Shella Deen took Plaintiff’s motion for summary adjudication of its fourth cause of against Defendant Lee under submission. On November 26, 2024, Judge Deen submitted an order granting the plaintiff’s motion for summary adjudication of its fourth cause of against Defendant Brent W. Lee and entered default in the amount of \$1,962,863.32. On February 3, 2025, the Honorable Shella Deen ordered a judgment and judicial foreclosure against Defendant Lee. The notice of entry was filed the next day on February 4, 2025. Defendants filed a motion to set aside the judgment on February 19, 2025, but subsequently withdrew its motion on August 21, 2025. On October 23, 2025, the plaintiff filed this motion to enforce a judgment following judicial foreclosure sale. The motion was accompanied by a proof of service indicating electronic mail service to defense counsel that was filed on that same day. The motion is unopposed. Per Code of Civil Procedure section 1005(b) opposition papers were due on July 17, 2026. A failure to oppose a motion may be deemed a consent to the granting of the motion. California Rule of Court Rule 8.54c. A failure to oppose a motion may be deemed a consent to the granting of the motion. (California Rule of Court Rule 8.54(c)). Failure to oppose a motion leads to the presumption that the defendant has no meritorious arguments. (<i>Laguna Auto Body v. Farmers Ins. Exchange</i> (1991) 231 Cal.App.3d 481, 489). The Court carefully reviewed the following, Plaintiff’s notice of motion (totaling 3 pages); memorandum of points and authorities (totaling 5 pages); Declaration of Liam O’Connor in support of the motion and attached Exhibits 1-21 (totaling 84 pages); Declaration of Appraiser Jeffrey Bolton and attached Exhibit A (totaling 31 pages); Request for Judicial Notice and attached Exhibits A-D (totaling 70 pages); proofs of service; and the pleadings. II. <u>LEGAL STANDARD</u> A. ENFORCEMENT OF JUDGMENT Pursuant to Code of Civil Procedure section 726(a), “[t]here can be but one form of action for the recovery of any debt or the enforcement of any right secured by mortgage upon real property.” “[S]ince under section 726, ‘[t]here can be but one form of action for the recovery of any debt’ secured by a mortgage or deed of trust on real property, where the creditor sues on the obligation and seeks a personal money judgment against the debtor without seeking therein foreclosure of such mortgage or deed of trust, he makes an election of remedies, electing the single remedy of a personal action, and thereby waives his right to foreclose on the security or to sell the security under a power of sale.” <i>Walker v. Community Bank</i> (1974) 10 Cal. 3d 729 at 734 (citation omitted). “[W]hen the creditor recovers a personal money judgment against the debtor without first foreclosing all of the security, the sanctions of the ‘one action’ rule are applied, and the creditor loses the liens on all property not foreclosed in that action.” <i>Kirkpatrick v. Westamerica Bank</i> (1998) 65 Cal. App. 4th 982, 988 (citation omitted). “An election of remedies . . . occurs at the point the judgment attains finality when the claim is merged in the judgment.” (<i>Id.</i> at 990). Section 726(b) provides in relevant part:

(b) The decree for the foreclosure of a mortgage or deed of trust secured by real property or estate for years therein shall declare the amount of the indebtedness or right so secured and, unless judgment for any deficiency there may be between the sale price and the amount due with costs is waived by the judgment creditor or a deficiency judgment is prohibited by Section 580b, shall determine the personal liability of any defendant for the payment of the debt secured by the mortgage or deed of trust and shall name the defendants against whom a deficiency judgment may be ordered following the proceedings prescribed in this section. In the event of waiver, or if the prohibition of Section 580b is applicable, the decree shall so declare and there shall be no judgment for a deficiency.

B. REQUEST FOR JUDICIAL NOTICE

Under Evidence Code section 452(c)-(d), the court may take judicial notice of court records and actions of the state. Here, Plaintiff requests that the court takes judicial notice of four exhibits: Exhibit A is Plaintiff's motion for summary adjudication dated November 20, 2024; Exhibit B, Amended Order & Judgment of Judicial Foreclosure Against Defendant Lee; Exhibit C, Sheriff's Writ dated August 12, 2025 and Recorded Writ from Placer County Recorded August 19, 2025; and Exhibit D, Declaration of David Scheiber in support of the Motion for Summary Adjudication dated April 11, 2024 limited to exhibits A, B, E, and F. The request for judicial notice is unopposed. The Court GRANTS the request for judicial notice. However, the Court does not take judicial notice of the truth of assertions within the court records. (*Herrera v. Deutsche Bank National Trust Co.* (2011) 196 Cal.App.4th 1366, 1375).

III. ANALYSIS

Plaintiff Bank seeks a judgment in its favor and against the guarantor in the amount of the deficiency under section 726(b). Plaintiff states that the foreclosure sale of the Placer Property was completed on August 7, 2025 for the sale price of \$1,700,000.00, wherein Plaintiff took title via its winning credit bid. (Motion, p. 2). Appraiser Jeffrey W. Bolton submitted a Declaration attesting that the fair value of the Placer Property was \$1,850,000.00 at the time of the sale, on or around August 7, 2025. (Declaration of Bolton ¶ 4). Plaintiff Bank asserts that as of the date of foreclosure sale, the total amount due and owing to Cathay under the Loan Document as set forth in the Motion for Summary Adjudication Order on November 26, 2024 was \$2,248,617.51, which includes the balance of the loan, interest, attorney's fees (Declaration of O'Connor ¶¶ 17-23), and cost that the Bank incurred from October 4, 2024 to the foreclosure date. (Declaration of O'Connor ¶¶ 8-12; Exhibits 1-12; and Request for Judicial Notice, Exhibit D). Plaintiff asserts to having incurred \$14,788.80 in additional attorney's fees and \$277.39 in additional costs following the foreclosure sale, including preparation and filing this motion. (Declaration of O'Connor ¶ 14). Plaintiff asserts that pursuant to the "Attorneys' Fees; Expenses" provision under the Loan Documents, interest, fees, and costs are part of the loan balance. (*Id.*, ¶ 11; Request for Judicial Notice, Exhibits A and D). The additional interest in the balance has now accrued to \$38,878.67. (*Id.*, ¶ 14).

After applying all proceeds to the sale of the Placer Property, Plaintiff asserts that there is a deficiency in the amount of \$452,562.46 that is outstanding. (*Id.*, ¶ 14). Plaintiff sets for the accounting as follows: \$2,248,617.51 (Loan Document) less \$1,850,000 (value of the Placer Property per appraiser Bolton), plus \$38,878.76 (interest), plus \$14,788.80 (additional attorney's fees), plus \$277.39 (additional costs), for a total of \$452,562.46. (Motion, p. 5; Declaration of O'Connor ¶¶ 12-16). Plaintiff asserts that it may seek additional attorney's fee in a Reply brief. The Court notes that no reply brief with an updated amount was filed.

The Court finds that the plaintiff has met its burden under section 726(b).

IV. CONCLUSION

Based on the foregoing, the unopposed motion is GRANTED. The entry of deficiency judgment in the amount of

\$452,562.46 is awarded to Plaintiff against Guarantor Brent W. Lee aka Lee Brent. The Court will prepare the formal Order.

Calendar Line # 4

Case Name Soulbrain CA, LLC et al vs Seung Pyo (Dominic) Lee et al

Case No. 23CV428385

Demurrer

Before the court is defendant Rak Gyu “Robert” Chung dba SVR Real Estate & Management’s demurrer to third amended complaint. Pursuant to California Rule of Court 3.1308, the court issues its tentative ruling as follows.

I. BACKGROUND

In 2020, plaintiff SB Novus Ltd (“Novus”), based in South Korea, decided to purchase real estate in the United States through its subsidiary companies, plaintiffs Soulbrain CA, LLC (“SBCA”) and SB 125 Rio Robles, LLC (“SB125”) (collectively, SBCA and SB125 are hereafter referred to as “California Subsidiaries;” collectively, Novus, SBCA, and SB125 are hereafter referred to as “Soulbrain”). (Third Amended Complaint (“TAC”), ¶12).

Novus’s management team in Korea did not have expertise in US real estate transactions. (TAC, ¶14). The Novus management team relied on advice of defendant Seung Pyo (Dominic) Lee (“Lee”), who held himself out as an expert in US commercial real estate investments, to properly structure and capitalize the California Subsidiaries. (*Id.*).

Plaintiffs Soulbrain identified three buildings in Santa Clara located at 125 Rio Robles Drive (“Soulbrain B1”), 80 West Tasman Drive (“Soulbrain B2;” Soulbrain B1 and Soulbrain B2 are collectively referred to as the “Soulbrain Property”), and 10 W Tasman Drive (“Heritage Property;” the Heritage Property and Soulbrain Property are collectively referred to as the “Properties”). (TAC, ¶17).

To ensure the California Subsidiaries were adequately capitalized to purchase and manage the Properties, defendant Lee prepared and submitted to Novus’s management presentations and emails containing the amounts necessary to adequately capitalize plaintiff SBCA. (TAC, ¶19). Once capitalized, the funds to purchase the Properties were transferred to plaintiff SB125, a wholly owned subsidiary of SBCA, to purchase and hold title to the Properties. (*Id.*).

Defendant Lee was the sole employee of plaintiff SBCA during the relevant time periods. (TAC, ¶20). If defendant Lee needed additional capitalization for plaintiff SBCA, Lee needed to submit a request to Novus who would determine whether the amount requested was reasonable and transfer additional capital to SBCA. (*Id.*). Once SBCA had capital, defendant Lee had full autonomy to disperse funds for SBCA’s benefit. (*Id.*). Novus’s management would monitor SBCA’s cash balance, but Lee was trusted to act in the best interest of the California Subsidiaries. (*Id.*). On September 22, 2020, Novus wired \$9 million to SBCA based on Lee’s representations about the funds he needed authorization to spend on behalf of the California Subsidiaries. (*Id.*).

In Korea, the typical practice in commercial real estate transactions is for both buyer and seller to pay a broker’s fee. (TAC, ¶24). In the United States, it is typical for the seller to pay the brokers’ commissions from the final purchase price. (*Id.*) Lee knew Novus management would be unaware of this distinction and expect to pay a broker’s fee in connection with purchasing real property. (*Id.*) Lee took advantage of this difference to build in a second, fake “broker’s fee” into an authorization request to Novus for cash on behalf of the California Subsidiaries. (*Id.*).

Novus relied on Lee’s representation that the California Subsidiaries would owe \$1.6 million to Jones Lang LaSalle (“JLL”), the broker acting on behalf of SBCA as buyer of the Properties. (TAC, ¶¶23 and 25). In reliance, Novus sent SBCA \$53 million on October 20, 2020. (TAC, ¶25). Once Lee received authorization and funds from Novus,